

Where Every Rupee Should Go

A simple decision framework for save-vs-invest choices — from your emergency fund to your first SIP.

Before we start

"Should I save or invest?" is the wrong question — you need both, in the right order and the right places. This ebook gives you that order, plus where each rupee should actually sit, based on how soon you'll need it.

1. Saving vs investing, in one line

	Saving	Investing
Goal	Protect money, keep it accessible	Grow money over time
Risk	Very low	Varies — low to high depending on the vehicle
Typical use	Emergency fund, near-term goals	Long-term goals — retirement, wealth building
Where it lives	Savings account, FD, liquid fund	Mutual funds, stocks, PPF, real estate, gold

The order matters: save first (emergency fund), then invest. Investing before you have a safety net means you may be forced to sell investments at a bad time when an emergency hits.

2. Your emergency fund comes first, no exceptions

- **Target:** 3–6 months of essential expenses (rent, groceries, EMIs, bills) — 6–9 months if your income is variable or your industry has frequent layoffs.
- **Where to keep it:** a liquid mutual fund or a sweep-in fixed deposit — both give you access within a day or two, with a little more return than a plain savings account.
- **Never in equity.** An emergency fund invested in the stock market can lose value at exactly the moment you need to withdraw it.
- **Keep it separate** from your everyday spending account, so it's never accidentally spent on something that isn't actually an emergency.

3. Match the vehicle to the timeline

Once your emergency fund exists, everything else follows one rule: how soon will you need this money?

Time horizon	Where it should go	Why
Under 1 year	Savings account, liquid fund	Capital safety matters more than returns this close to spending it.
1–3 years	Fixed deposit, short-term debt fund	Slightly better returns, still low volatility.
3–7 years	A mix of debt and equity mutual funds	Enough time to ride out equity dips, but not pure equity yet.
7+ years	Equity mutual funds, index funds, EPF/PPF/NPS	Long enough horizon for equity's higher average returns to play out.

4. The full menu, compared

Option	Risk	Liquidity	Typical use
Savings account	Very low	Instant	Day-to-day money, emergency fund overflow
Fixed deposit	Very low	Medium (penalty on early exit)	1–3 year goals
Liquid fund	Low	1–2 days	Emergency fund, short-term parking
PPF	Very low	Locked 15 years (partial withdrawal allowed later)	Long-term, tax-advantaged saving
Index / equity mutual funds	Medium–high	1–3 days	7+ year wealth building
Direct stocks	High	Instant (market hours)	Long-term, for those willing to research individual companies
Gold (SGB / ETF)	Medium	Varies	Portfolio diversification, not a primary goal
Real estate	Medium–high	Very low	Large, long-term, often for end-use as much as investment

5. Worked example: allocating Rs. 20,000/month

Assume your Needs and Guilt-free buckets are already covered, and this Rs. 20,000 is purely your "Future-you" money.

Stage	Allocation	Where
No emergency fund yet	Rs. 20,000 (100%)	Liquid fund, until it covers 6 months of expenses
Emergency fund complete, no other short-term goals	Rs. 20,000 (100%)	Equity/index mutual fund SIP
Emergency fund complete + a 2-year goal (e.g. a trip, a gadget upgrade)	Rs. 12,000 SIP / Rs. 8,000 short-term	Split between equity SIP and a short-term debt fund or RD

6. Mistakes that quietly cost the most

- **Investing before the emergency fund exists.** A medical bill or a layoff can force you to sell investments at a loss if there's no cash buffer.
- **Keeping years of savings in a plain savings account.** Safe, but inflation quietly erodes its value every year it sits there doing nothing.
- **Putting short-term goal money into equity** because "the market always goes up eventually" — eventually doesn't help if you need the money in 18 months.
- **Chasing the previous year's best-performing fund.** Past performance isn't a promise — consistency and low costs matter more than a single good year.
- **Never revisiting the allocation.** A 3-year goal becomes a 1-year goal as time passes — the money should gradually shift to safer options as the goal approaches.

7. Quick answers to common questions

Should I invest a lump sum or start a SIP?

For most salaried people, a SIP fits naturally with monthly income and avoids trying to time the market. A lump sum (a bonus, for instance) can be invested in stages over a few months instead of all at once, to smooth out timing risk.

Is PPF or a mutual fund better for long-term saving?

They serve different roles — PPF is guaranteed, tax-advantaged, but locked in and lower return. Equity mutual funds carry more short-term volatility but typically higher long-term returns. Many people use both, not one instead of the other.

How many mutual funds do I actually need?

For most beginners, 2–4 well-chosen funds (e.g. one broad index fund, one flexi-cap) cover most needs. Holding 10+ funds usually just adds overlap and complexity, not real diversification.

8. Your action checklist

- ✓ Calculate 6 months of essential expenses — that's your emergency fund target.
- ✓ Park that target amount in a liquid fund or sweep-in FD before investing anything else.
- ✓ Sort your goals by time horizon: under 1 year, 1–3 years, 3–7 years, 7+ years.
- ✓ Match each goal to a vehicle from the timeline table in Section 3.
- ✓ Set up automatic transfers so this happens without needing a decision every month.
- ✓ Revisit the allocation once a year, or whenever a goal's timeline changes.

This ebook is a planning aid, not investment advice. Markets carry risk, and past performance doesn't guarantee future returns — consider your own risk tolerance, and consult a professional for decisions specific to your situation.